

ALL CAMS DOMAINS

HARD QUESTIONS & EXAM TRAPS FROM ALL IMAGES

Everything You Get Wrong Explained in Natural Language

Data Collection ð MLAT ð PPP ð FATF 6-Step ð Financial Secrecy Index
EWRA ð Biometrics ð Authentication ð Concentration Accounts ð Trade Topology
Board Oversight ð Terrorist Financing ð DNFBPs ð Layering ð Structuring
IOSCO ð BSA ð China AML ð Open Source ð Batch Screening ð Clustering

Data Extraction The Format Trap

The Hard Question CAMS Exam Favorite

Which best describes a challenge during AFC data extraction?

✓ **CORRECT:** Data may come in different formats, requiring normalization during integration.

Natural Explanation Why You Got This Wrong

- ▶ Many candidates think data extraction is just **pulling data** from systems. But the **real challenge** is what happens **after** you pull it.
- ▶ Different systems use **different formats**: one system uses "US," another uses "USA," another uses "840" or "United States."
- ▶ **Normalization** is the process of making all this data **consistent** so it can be used together.
- ▶ Without normalization, your transaction monitoring system can't properly analyze transactions or identify patterns.
- ▶ **Key principle:** Data extraction is **not** the challenge **data normalization** is.

REMEMBER: Key Rule: Data extraction challenge = **different formats requiring normalization**.

Data Mining The External Sources Trap

The Hard Question CAMS Exam Favorite

Which are requirements for effective data mining and matching in AFC controls? (Select Two.)

✓ **CORRECT:** 1. Comparing extracted data against structured and unstructured risk sources. 2. Applying intelligent filters to reduce false positives during entity resolution.

Natural Explanation Why You Got This Wrong

- ▶ Focusing on internal customer files for mining purposes This is a **trap**. Effective data mining requires **both internal and external** sources.
- ▶ **Structured data:** Databases, spreadsheets, formatted fields.
- ▶ **Unstructured data:** Emails, documents, free-text fields, news articles.
- ▶ **Intelligent filters:** Reduce false positives during entity resolution (matching entities across different data sources).
- ▶ **Key principle:** Data mining is **broad**, not narrow. You need **external** data to catch **external** risks.

REMEMBER: Key Rule: Data mining = **internal** + **external** data sources + **intelligent filters**.

Data Integration The Isolation Trap

The Hard Question CAMS Exam Favorite

Which help ensure effective integration of multiple data sources into compliance platforms? (Select Three.)

✓ **CORRECT:** 1. Maintaining a common data dictionary. 2. Mapping all incoming data to standardized field names. 3. Aligning control data requirements to system inputs.

Natural Explanation Why You Got This Wrong

- ▶ Separating internal and external data into isolated systems This is a **trap**. Separation **undermines** integration, it doesn't help it.
- ▶ **Common data dictionary:** Ensures all systems use the same definitions (e.g., "customer" means the same thing everywhere).
- ▶ **Field mapping:** Ensures data from source systems is translated correctly into target systems.
- ▶ **Aligning control requirements:** Ensures the monitoring system receives all necessary data.
- ▶ **Key principle:** Integration is about **connection**, not isolation.

REMEMBER: Key Rule: Integration = common dictionary + field mapping + aligned requirements.

Internal vs External Sources The Scope Trap

The Hard Question CAMS Exam Favorite

Which characteristics describe internal versus external sources used during AFC data extraction? (Select Two.)

✓ **CORRECT:** 1. Internal sources reflect observed customer behavior or system-held values. 2. External sources include sanction or adverse media lists from agencies.

Natural Explanation Why You Got This Wrong

- ▶ Internal data includes account balance snapshots, not user activity. This is **too narrow**. Internal data includes **much more** than just account balances.
- ▶ **Internal sources:** Transaction histories, account balances, customer profiles, onboarding records, system-held values.
- ▶ **External sources:** Sanctions lists (OFAC, UN), PEP lists, adverse media databases, regulatory watchlists.
- ▶ **Key principle:** Internal data provides **behavioral context**. External data provides **risk context**. Both are essential.

REMEMBER: Key Rule: Internal = **behavioral context**. External = **risk context**. Both needed.

MLAT The Admissibility Trap

The Hard Question CAMS Exam Favorite

Two countries establish an MLAT. Country A has data protection rules preventing sharing of client identities. Country B bases investigations on BO disclosures. What challenge arises?

✓ **CORRECT:** Evidence exchanged under the MLAT will NOT be admissible in Country B's legal system.

Natural Explanation Why You Got This Wrong

- ▶ Most candidates think the problem is **Country A won't share the data**. That's **obvious**. The exam tests deeper understanding.
- ▶ The **real issue** is that even if Country A **does** share the data, Country B's courts may **reject** it.
- ▶ **Admissibility** is the legal standard for evidence in court.
- ▶ If the evidence doesn't meet Country B's evidentiary standards, it's **useless** even if shared.
- ▶ **Key principle:** MLATs must address both **sharing** AND **admissibility**. The exam tests admissibility, not sharing.

REMEMBER: Key Rule: MLAT challenge = **admissibility**, not just sharing.

PPP The Real-Time Intelligence Trap

The Hard Question CAMS Exam Favorite

An FIU wants to use PPP for real-time intelligence sharing to disrupt a terrorist financing network. Which approach is most aligned?

✓ **CORRECT:** Establishing a formal platform with direct two-way communication on specific threats.

Natural Explanation Why You Got This Wrong

- ▶ Many candidates choose anonymized, aggregated format after threat is resolved because it sounds **safer** or more **privacy-protecting**.
- ▶ But **that's not a PPP**. That's **after-the-fact reporting**.
- ▶ **PPP is about DISRUPTION** stopping crimes **before** they happen.
- ▶ To disrupt, you need **real-time two-way communication**.
- ▶ Anonymized reporting **protects privacy** but **doesn't enable disruption**.
- ▶ **Key principle:** PPPs are about **real-time intelligence sharing** to **disrupt** active threats.

REMEMBER: Key Rule: PPP = **real-time two-way communication** for disruption.

FATF 6-Step The Component Trap

The Hard Question CAMS Exam Favorite

Which are key components of FATF's six-step framework for national ML/TF risk assessments? (Select Three.)

✓ **CORRECT: 1. Environmental scanning. 2. Horizon scanning. 3. Threat identification.**

Natural Explanation Why You Got This Wrong

- ▶ Cross-border tax enforcement This **sounds plausible** because it's related to financial crime, but it's **not** a FATF risk assessment component.
- ▶ Offshore asset repatriation Also sounds related, but **not** a component.
- ▶ **Environmental scanning:** Understanding the context (what's happening in the country?).
- ▶ **Horizon scanning:** Identifying emerging risks (what's coming?).
- ▶ **Threat identification:** Identifying specific threats (who are the bad actors?).
- ▶ **Key principle:** FATF's framework is about **understanding risk**, not enforcement actions.

REMEMBER: Key Rule: FATF 6-step = environmental + horizon scanning + threat identification.

The Hard Question CAMS Exam Favorite

Which contribute to an elevated Financial Secrecy Index rating? (Select Three.)

✓ **CORRECT: 1. Minimal BO reporting. 2. Extensive cross-border services to non-residents. 3. High secrecy-to-scale ratio.**

Natural Explanation Why You Got This Wrong

- ▶ High ranking on global GDP without AML laws This **sounds** like it would matter, but GDP alone **doesn't create secrecy**.
- ▶ **Minimal BO reporting:** If you don't know who owns companies, that's secrecy.
- ▶ **Cross-border services to non-residents:** Providing banking services to people who don't live there enables secrecy.
- ▶ **High secrecy-to-scale ratio:** How much secrecy relative to financial activity if a small jurisdiction has a lot of secrecy, that's a red flag.
- ▶ **Key principle:** FSI measures **actual secrecy**, not just size or wealth.

REMEMBER: Key Rule: FSI factors = BO reporting + cross-border services + secrecy-to-scale ratio.

The Hard Question CAMS Exam Favorite

Which function uses EWRA results to shape risk posture?

✓ **CORRECT: The Money Laundering Reporting Officer (MLRO).**

Natural Explanation Why You Got This Wrong

- ▶ Many candidates choose Internal Audit Lead because audit **sounds** like it would shape risk.
- ▶ But **Internal Audit** is the **third line of defense** they assess controls, they don't shape risk posture.
- ▶ The **MLRO** is responsible for **managing AML risk** they use EWRA to adjust controls, enhance monitoring, and allocate resources.
- ▶ **Key principle:** MLRO = **risk manager**. Internal Audit = **risk assessor**. Different roles.

REMEMBER: Key Rule: MLRO = **shapes risk posture**. Internal Audit = **assesses** controls.

Tax Evasion vs Tax Avoidance The Distinction Trap

The Hard Question CAMS Exam Favorite

A company failed to report offshore revenue and laundered funds through an unrelated third party. What conclusion is best supported?

✓ **CORRECT: The company committed tax evasion by concealing income.**

Natural Explanation Why You Got This Wrong

- ▶ Many candidates choose legally avoided taxes through offshore structuring because offshore structuring **sounds** like tax planning.
- ▶ But there's a **critical distinction**:
 - ▶ **Tax avoidance**: Legal you structure to minimize taxes **within the law**.
 - ▶ **Tax evasion**: Illegal you **conceal** income or assets.
- ▶ **Failure to report + laundering through a third party** = concealment = **evasion**.
- ▶ **Key principle**: Tax avoidance requires **full disclosure**. Concealment = evasion = predicate offense for ML.

REMEMBER: Key Rule: Avoidance = legal with disclosure. Evasion = illegal with concealment.

Board Oversight The Operational Trap

The Hard Question CAMS Exam Favorite

Which actions demonstrate effective board oversight? (Select Three.)

✓ **CORRECT:** 1. Receiving regular reports on risks. 2. Reviewing management's response to audit findings. 3. Challenging management on weak performance.

Natural Explanation Why You Got This Wrong

- ▶ Many candidates choose Participating in SAR investigations because it sounds **engaged** and **involved**.
- ▶ But **boards provide OVERSIGHT**, not operational involvement.
- ▶ **Participating in SAR investigations** is **operational** that's for compliance staff, not the board.
- ▶ **Board duties:**
 - ▶ Receive reports (stay informed)
 - ▶ Review audit responses (hold management accountable)
 - ▶ Challenge management (ask tough questions)
- ▶ **Key principle:** Board = **oversight and challenge**. NOT doing the work.

REMEMBER: Key Rule: Board = **oversight**. NOT operational involvement.

Terrorist Financing The Movement Methods Trap

The Hard Question CAMS Exam Favorite

Which techniques are commonly used by terrorists to move or store money across borders avoiding detection? (Select Three.)

✓ **CORRECT:** 1. Fake charities. 2. Hawala (informal value transfer). 3. Physical cash transport across porous borders.

Natural Explanation Why You Got This Wrong

- ▶ Large wire transfers through regulated banks This is a **trap** because it **sounds** like a method, but it's **detectable**.
- ▶ Terrorists want to **avoid detection**, so they use **unregulated** methods.
- ▶ **Fake charities:** Disguise TF as humanitarian aid.
- ▶ **Hawala:** Informal value transfer outside regulated banking.
- ▶ **Physical cash transport:** Crosses borders avoiding detection.
- ▶ **Key principle:** Terrorists use **unregulated** and **hard-to-detect** methods.

REMEMBER: Key Rule: TF = fake charities + Hawala + physical cash. NOT regulated wire transfers.

Human Trafficking The Laundering Methods Trap

The Hard Question CAMS Exam Favorite

Which characteristics enable human trafficking operations to effectively launder illicit proceeds? (Select Two.)

✓ **CORRECT:** 1. Use of mobile payment and remittance systems. 2. Weak cross-border enforcement cooperation.

Natural Explanation Why You Got This Wrong

- ▶ High correlation between trafficking and counterfeit document operations This is **related** to trafficking, but **counterfeit documents** are a **separate crime**, not a laundering method.
- ▶ **Mobile payments/remittances:** Enable rapid movement of small amounts (structuring).
- ▶ **Weak cross-border enforcement:** Allows traffickers to operate across jurisdictions.
- ▶ **Key principle:** Traffickers launder proceeds through **rapid, small, cross-border** transactions.

REMEMBER: Key Rule: Trafficking laundering = **mobile payments** + **weak cross-border enforcement**.

TCSP The Outsourcing Trap

The Hard Question CAMS Exam Favorite

A TCSP is reviewing a client who wants confidentiality and is linked to high-risk industries in the NRA. What should the TCSP do?

✓ **CORRECT:** Decline immediately unless full BO info and risk justifications are disclosed and verified.

Natural Explanation Why You Got This Wrong

- ▶ Refer to offshore local counsel and detach from compliance responsibility This is a **trap**. You **cannot** outsource AML responsibility.
- ▶ TCSP retains compliance responsibility always.
- ▶ Confidentiality requests + high-risk industries = red flags.
- ▶ FATF Rec 24/25: BO identification is **mandatory**.
- ▶ Key principle: You can use local counsel, but you **cannot transfer liability**. You remain responsible.

REMEMBER: Key Rule: TCSP cannot outsource AML responsibility. Decline unless BO disclosed.

The Hard Question CAMS Exam Favorite

Which strategies help manage DNFBP risks? (Select Two.)

✓ **CORRECT:** 1. Creating a reputational risk/client selection committee. 2. Using standardized sector-specific questionnaires.

Natural Explanation Why You Got This Wrong

- ▶ Defaulting to EDD for all DNFBPs This **sounds** prudent, but it's **not risk-based**. You would over-control low-risk DNFBPs.
- ▶ **Risk-based approach:** Apply proportionate measures based on actual risk.
- ▶ **Client selection committee:** Governance for high-risk decisions.
- ▶ **Standardized questionnaires:** Consistent risk assessment across DNFBPs.
- ▶ **Key principle:** Risk management = **proportionate measures**, not blanket EDD.

REMEMBER: Key Rule: DNFBP risk = committee + standardized questionnaires. NOT blanket EDD.

Layering The Classification Trap

The Hard Question CAMS Exam Favorite

A private loan extended to a shell company with no operations, loan amount matches criminal proceeds. What is the initial classification?

✓ **CORRECT: A layering tactic designed to conceal the origin of illicit funds.**

Natural Explanation Why You Got This Wrong

- ▶ A placement strategy to integrate clean capital This is a **trap**. Placement is the **first stage** entering illicit funds into the system.
- ▶ **Layering** is the **second stage** concealing the origin.
- ▶ A **private loan to a shell company** creates a **false paper trail** that appears legitimate.
- ▶ The loan **distances** the funds from their criminal source.
- ▶ **Key principle:** Layering = **concealing origin**. Placement = **entering system**. Integration = **using funds legitimately**.

REMEMBER: Key Rule: Layering = **concealing origin**. Placement = **entering system**.

Proactive Response The Updating Trap

The Hard Question CAMS Exam Favorite

What is a proactive institutional response to newly detected AML risks?

✓ **CORRECT:** Immediately updating the enterprise-wide risk assessment.

Natural Explanation Why You Got This Wrong

- ▶ Reducing reliance on transaction monitoring systems This is **reactive** and **counterproductive**.
- ▶ **Proactive** = take action **before** the risk materializes.
- ▶ **Updating EWRA** allows the institution to:
 - ▶ Adjust controls
 - ▶ Allocate resources to higher-risk areas
 - ▶ Enhance monitoring before risks materialize
- ▶ **Key principle:** Proactive = **update risk assessment**. Reactive = **respond after the fact**.

REMEMBER: Key Rule: Proactive = **update EWRA immediately**.

The Hard Question CAMS Exam Favorite

Which of IOSCO's core objectives directly support anti-financial crime efforts? (Select Two.)

- ✓ **CORRECT:** 1. Enhancing investor protection through cooperation and enforcement. 2. Promoting financial stability by managing systemic risks and facilitating international information exchange.

Natural Explanation Why You Got This Wrong

- ▶ Requiring uniform compliance departments This **sounds** like it would help, but it's **not** an IOSCO objective.
- ▶ IOSCO objectives:
 - ▶ **Investor protection:** Combating fraud and market abuse.
 - ▶ **Financial stability:** Managing systemic risks and cross-border info sharing.
- ▶ **Key principle:** IOSCO's objectives are **high-level** investor protection and financial stability. Uniform departments is **operational**, not an objective.

REMEMBER: Key Rule: IOSCO = investor protection + financial stability.

Open Source Research The Entity-Specific Trap

The Hard Question CAMS Exam Favorite

An analyst notes wire transfers to an unfamiliar entity in a sanctioned jurisdiction. Which information source would most help understand the activity?

✓ **CORRECT:** Open-source research into the entity.

Natural Explanation Why You Got This Wrong

- ▶ Regulatory advisories about common evasion techniques This is **general** information, not **specific** to the entity.
- ▶ Open-source research on the **specific entity** provides:
 - ▶ Ownership information
 - ▶ Business activities
 - ▶ Connections to other entities
 - ▶ Whether it's a shell company or front
- ▶ Key principle: When investigating an **unknown entity**, go to **entity-specific** sources, not general guidance.

REMEMBER: Key Rule: Unknown entity = **open-source research** on that specific entity.

Batch Screening The Volume Trap

The Hard Question CAMS Exam Favorite

Which are true about batch screening? (Select Two.)

✓ **CORRECT:** 1. It helps reveal changing risks within the existing customer base. 2. It is designed to handle large volumes of data.

Natural Explanation Why You Got This Wrong

- ▶ It provides real-time transaction screening. This is **real-time screening**, not batch screening.
- ▶ **Batch screening:** Processes data in bulk typically the entire customer database against sanctions lists, PEP lists.
- ▶ **Purpose:** Detects existing customers who have become risky (e.g., newly designated sanctions).
- ▶ **Volume-oriented:** Designed to handle millions of records.
- ▶ **Key principle:** Batch screening = **periodic re-screening** of the **entire customer base**.

REMEMBER: Key Rule: Batch screening = **large volumes** + **changing risks**. NOT real-time.

ALL DOMAINS Hardest Exam Traps Summary

Top 20 Traps Natural Explanations

1. **Data Extraction:** Challenge = **normalization**, not just pulling data.
2. **Data Mining:** Need **internal + external** data sources.
3. **Data Integration:** Need **connection**, not isolation.
4. **MLAT:** Challenge = **admissibility**, not just sharing.
5. **PPP:** = **real-time two-way communication**, not post-hoc reporting.
6. **FATF 6-Step:** = **environmental + horizon scanning + threat identification**.
7. **Financial Secrecy Index:** = **BO reporting + cross-border services + secrecy-to-scale ratio**.
8. **EWRA:** MLRO shapes risk; Internal Audit assesses controls.
9. **Tax:** Avoidance = **legal with disclosure**. Evasion = **illegal with concealment**.
10. **Board:** = **oversight**, NOT operational involvement.
11. **TF:** = **fake charities + Hawala + physical cash**. NOT regulated wire transfers.
12. **Human Trafficking:** = **mobile payments + weak cross-border enforcement**.
13. **TCSP:** Cannot outsource AML responsibility.
14. **DNFBP:** = **committee + questionnaires**. NOT blanket EDD.
15. **Layering:** = **concealing origin**. Placement = **entering system**.
16. **Proactive:** = **update EWRA immediately**.
17. **IOSCO:** = **investor protection + financial stability**.
18. **Open Source:** = **entity-specific research**, not general guidance.
19. **Batch Screening:** = **large volumes + changing risks**. NOT real-time.
20. **Structuring:** = **small deposits to avoid thresholds + sudden wire transfer**.

REMEMBER: Final Rule: Understand the **why** behind each concept. The exam tests **application**, not memorization.

ALL CAMS DOMAINS COMPLETE

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